

area that will not grow both in aerospace and defence. I think that as the industry matures, as the industry becomes more realistic on both sides of what the industry can do, I think there will only be a very healthy opportunity and a very healthy business for the private sector.

Q: I want to extend this question to the broader manufacturing team. And I want you to wear your former head of CII hat as well in this. All this excitement about India becoming a manufacturing destination... the China plus one opportunity, etc... is there an element of hype out there? Or do you believe that India can become a successful manufacturing destination? Some of our neighbours, like Vietnam, have done well on the low-end manufacturing front. Do you think we could make some serious inroads over the next few years?

62 | A: It's a very interesting question. It's a question that I have been grappling with on many fronts, including with CII and other organisations. I think there is a poor realisation amongst various government authorities—not just at the central government level, [but] at every level... at the state-, local-, even at the village level—there is very little realisation of how complex manufacturing is. It's not like a service industry like software, where as long as you have a place for people to work from, and they are well qualified, they can work from anywhere and do it.

I think manufacturing requires highly efficient factories, there's a lot of interdependencies between manufacturers and suppliers, the supply chain has to work efficiently. So, there is just not enough realisation. My belief is that the reason why countries like Vietnam moved ahead of India on the manufacturing [front], the only reason is because they took care of the entire entry and operational part of how industry works with local bodies, with the central governments, etc. We have still not done it. In Vietnam, when you have an industrial park, the park authorities take care of every type of clearance, permission, etc., that you need. So, it is literally a one-stop shop, and it works very efficiently. I have my experience of that because we have been running a factory in Vietnam for 20 years. India has still

ON STRENGTHENING MANUFACTURING

I think there is a poor realisation among authorities of how complex manufacturing is. It is the softer aspects of managing manufacturing, and industrial parks, etc., that are crucial. When we realise that, all the government authorities will have to designate one authority who will take care of all of this, so that the industrial organisation is not running around getting permissions.

ON COMPETING WITH GLOBAL GIANTS

Our approach has been to be as innovative as possible, and to be different, and especially to be more sustainable and greener. So like that, we differentiate ourselves in every way

ON PROSPECTS FOR GODREJ AEROSPACE

The government is interested in buying more from India... buying more of what we do. And I think that we are interested as much in doing that. As long as we have a healthy relationship with the government in terms of programmes, [this is a good business to be in]

not understood that it is the softer aspects of managing manufacturing, and industrial parks, etc., that are really crucial for efficiency. And I think when we realise that, it is going to be painful because what it means is that all government authorities—central, state, local—have to give up their power, so to speak, and designate one authority that will take care of all of this on their behalf, so that the industrial organisation is not running around getting permissions, etc. This is the most crucial thing about manufacturing. If we can nip this problem [in the bud], you will see that there will be an explosion in manufacturing.

Also, during Covid-19, when the supply chains were badly affected, a lot of companies in India realised that the only answer to that was you have to build more and more in India, which means that you have to support your supply chain, you have to work closely with them. And those who've done it have found that it is entirely possible—not in every case, but in most cases—to move the base to India, whether it came from China or Vietnam or Malaysia or anywhere. It is entirely possible to do that. But our mindset must be clear that you know what it takes to do that.

Q: It's a very important point you raise, but is all this easier said than done? Because people in positions of authority, the very bodies that you spoke about, including the bureaucracy, why would they want to give it up? It's not just a question of mere authority in name, but there are financial incentives or motivations to keep the status quo as it is today.

A: You see, it's a very simple point. If the leadership of this country believes and wants industry to grow well beyond the 15-16 per cent [of the GDP] that manufacturing is today and has been for decades, there is no other way. It is really a strategic decision that has to be taken and implemented. I can't say anything more than that. I think it has been demonstrated in lots of other places where this works, and I think it is the basis for a strong manufacturing industrial base.

Q: Let me come to your consumer businesses for a bit because you spoke about penetration earlier.